HSBC Global Investment Research

27 April 2026

# China Internet

## HSBC Global Investment Summit 2026 tour takeaways

**Equities**
Internet Software & Services

**China**

- We visited 6 companies under coverage and hosted online ads, games, local services and other experts during a 3-day tour
- AI investment and monetisation remain the core investor focus
- Investor sentiment on local services improved on easing competition and ad vertical faces higher compliance costs

**Our thoughts and investor feedback:** We like **Alibaba** for its to-B AI monetisation potential, and **Tencent** for its to-C AI monetisation potential and resilience from ads and games. Investors broadly share our positive view, especially Alibaba, although some are cautious on the near-term to-C AI monetisation outlook. We like buy-rated **Full Truck Alliance** for its attractive valuation. Its earnings growth appears to be bottoming out and shareholder returns are improving. Investors have turned more constructive on **Meituan (MT)** as quick commerce competition is easing and improved unit economics (UE) in 1Q26 highlighted its moat in food delivery. Aside from the names above, **Bilibili** and **PDD** were among the most inquired about names from investors. Below are our 8-10 April tour takeaways.

**Games** could continue to benefit from a rising paying ratio and ARPPU, back by more customised live operations and better AI driven efficiencies. A favourable pipeline - pet collection (*Roco Kingdom: World*), extraction shooter (*Delta Force*), and life simulation (*Animula Nook*) – could solidify Tencent's leadership in growth in 2026.

**Local services** players are expected to focus more on profitability, as MT and Douyin are sourcing growth from diverging segments and subsidy intensity may only remain relatively high in dining. Competition in **food delivery** has stabilised, too. Beverage orders could pick up into the summer months, changing the dynamics again but the long-term trend of continuous uplift in unit economics should continue (see page 5-7 for details).

**Ad** market growth should see support from demand in AI short dramas, AI applications and incremental budgets released from lower iOS channel costs. However, overall industry growth could see a 3ppt drag in 2026 due to higher compliance costs associated with two tax-related policy changes: e-commerce tax and traffic acquisition cost tax. Short video platforms could see more impact. Companies such as Tencent and Xiaohonshu (XHS) are more insulated from the tax changes and should continue to gain share.

**AI** budget increase as a share of IT spend supported by productivity gains, run-cost reduction, and targeted revenue uplift suggest ample room for revenue growth in AI and Cloud. Performance typically eclipses cost in the initial model selection process, and it is unlikely that one model will fit all use cases. GPU resources remain scarce, sustaining potential price hikes. Competitive energy pricing could give Chinese companies a long-term edge.

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**Exhibit 1: Summary of TPs and ratings of the stocks mentioned**

| Company | BBG Ticker | Mkt Cap (USDbn) | HSBC Rating | CCY | CMP | Target Price | Upside/down side |
|---|---|---|---|---|---|---|---|
| Tencent | 700 HK | 574.7 | Buy | HKD | 493.40 | 750.00 | 52.0% |
| NetEase | NTES US | 70.0 | Buy | USD | 110.58 | 185.00 | 67.3% |
| Meituan | 3690 HK | 65.0 | Buy | HKD | 82.45 | 104.00 | 26.1% |
| Alibaba | BABA US | 325.8 | Buy | USD | 135.82 | 172.00 | 26.6% |
| Pinduoduo | PDD US | 139.2 | Buy | USD | 98.03 | 159.00 | 62.2% |
| JD.com | JD US | 42.6 | Buy | USD | 30.27 | 35.00 | 15.6% |
| Kuaishou | 1024 HK | 24.2 | Buy | HKD | 43.70 | 65.00 | 48.7% |
| Bilibili | BILI US | 7.5 | Buy | USD | 22.25 | 30.00 | 34.8% |
| Full Truck Alliance | YMM US | 9.0 | Buy | USD | 8.66 | 13.80 | 59.4% |
| Perfect World * | 002624 CH | 4.9 | Buy | RMB | 17.12 | 30.00 | 75.2% |

Source: Bloomberg, LESG, HSBC estimates; priced as of 24 April 2026 (* based on HSBC Qianhai Securities estimates)

## Games

We hosted Kern Zhang (Team Lead of Account Management, GCR) and Abbie Li (Senior Sales Director) from Sensor Tower and Mr. Xie (freelancer; former overseas market distribution and operations director at Mihoyo).

**Industry growth trend and drivers**

Mr. Xie forecasts China games industry to grow at 7-10% y-o-y in 2026e, driven by higher paying ratio and ARPPU. Mr. Xie is more constructive on pet catching, extraction shooter, and life simulation sub-segments, which he expects to drive overall industry growth this year (more details below).

Mr. Zhang notes that the global mobile games industry grew 8-10% y-o-y in 2025 in revenue, but downloads only grew 2.5-3% y-o-y. This suggests users are less inclined to try new games, which also coincides with far fewer new game launches than 10 years ago. For PC and console games, revenue in 2025 was 50% higher than 2021, but the market size remains small (c16-20% of the mobile game market). He notes three key growth opportunities:

- **Mini games:** Tencent remains the leading distribution platform, but ByteDance is stepping up investment and team expansion.
- **Games as a Service (GaaS):** Mr. Zhang thinks customised live operations could emerge as a big opportunity. For example, despite classic gameplay, *Kingshot, Last War: Survival Game, Infinite Borders* and *FWJ* now all offer personalised bonuses, promotions and difficulty levels to each user, enhancing user retention and propensity to pay. He also notes that in the US, *Gossip Harbor: Merge & Story* launches personalised promotions to users around payroll timelines, and adjusts prices for in-game items according to macroeconomic conditions so that users will not feel pressured to spend and eventually get burnt out by the game. To differentiate going forward, we think it comes down to a company's ability to use AI to analyse in-game user data and make relevant recommendations. Both large and small-to-mid-sized game companies can benefit from this trend by leveraging third-party data platforms to strengthen their data analytics capacity.
- **Demographic shifts:** Mr. Zhang notices a few interesting behavioural shifts: 1) Young gamers in Japan are more willing to pay for PvP titles, supporting the strong performance of *Valorant* and *Apex Legends*; 2) games with "winning big" potential (e.g., casino, extraction shooter) are able to win over younger users; 3) in China market, *Black Myth: Wukong* has attracted interest from older gamers who had not played games before.

**Favourable regulation**

Mr. Zhang thinks the regulatory stance has turned more supportive. Regulators are encouraging large game companies to promote Chinese culture via expansion in overseas markets, building on the success of *Black Myth: Wukong*. Small-and-mid-sized game companies have seen proportionately higher percentage of approved game licenses, allowing them to enjoy better monetidation opportunities domestically.

**Observations and thoughts by different genre**

As discussed, Mr. Xie is more constructive on pet catching, extraction shooter and life simulation.

- **Pet catching**: The pioneer in this genre is *Pokémon GO*. Tencent launched ***Roco Kingdom: World*** on 26 March under this vertical, with 60m+ pre-registrations, and strong initial grossing performance. Mr. Xie believes it has strong potential in overseas markets, too. He also expects strong performance from the new launches such as ***Yimoo*** from Funplus and ***Honkai: Nexus Anima*** from Mihoyo, given encouraging testing feedback.
- **Extraction shooter**: Mr. Xie believes the success of *Delta Force* has proved that this genre is highly popular across demographics covering both younger and older players, as it also benefits from promotion through Tencent's social network. Mr. Zhang notes that research shows younger players like extraction shooters, as they provide a sense of achievement and a taste of success, which have become harder to attain in real life.
- **Life simulation:** Mr. Xie notes that ***Animula Nook*** from Tencent and ***Petit Planet*** from Mihoyo have strong testing feedback, and both games leverage the social strengths of Tencent and content-driven and storytelling strengths of Mihoyo, respectively.

Mr. Xie also discussed his thoughts and outlook on open-world games and SLG games, where he expects stronger contenders in the pipeline.

- **Open world - new launches:** Mr. Xie believes Tencent's ***Honor of Kings: World*** benefits from the IP appeal of HoK (and therefore requires less marketing) and notes solid initial launch performance for the PC version (mobile version to come later in April). He believes Perfect World has leveraged the experience of making Tower of Fantasy and kept the R&D cost low for ***Neverness to Everness (NTE)***, allowing it to allocate more resources to promote the game and still maintain decent margin. Mr. Xie expects NetEase to launch ***Ananta*** in 4Q26. But he has a mixed expectation on the performance of the game, as the mobile experience has yet to be refined in the mobile version, which could affect its user base and ability to cover substantial upfront R&D costs. On the other hand, he believes NetEase's ***Sea of Remnants*** could be a blockbuster in overseas markets (with a larger grossing contribution than in China), given the unique gameplay and genre.
- **Competition in SLG games:** Mr. Xie notes that SLG competition in China is very intense. Given the high ARPPU nature of the genre, top-tier SLG games focus on acquiring and retaining whale users with customised services (e.g., private messages), making it difficult for new entrants to acquire these users. However, SLG games can still grow well in overseas markets given lower ARPPUs, with various companies, such as Funplus and Diandian, having growth opportunities.

**Opportunities and risks from AI in games**

Outside of GaaS, AI has also been widely adopted in many areas. According to Mr. Xie: 1) localisation (translation); 2) traffic acquisition and ad materials generation; 3) art design (covering 2D/3D assets), motion capture and voice-over generation; 4) coding; 5) project management (e.g., data analysis and replacing part of the outsourcing work); 6) customer service and personalised interactions with NPCs (e.g., Peacekeeper Elite and Where Winds Meet). He believes AI adoption can lead to layoffs across the industry.

Mr. Xie also believes larger players tend to have an advantage, as they develop and use their proprietary foundation models. Small-to-mid-sized players rely on open-weight models and need to spend extra time and resources to fine-tune the models for their own use with uncertain outcomes. AI can substantially improve production efficiency for large players, weakening the advantages of small-to-mid-sized game companies, which are known for nimble organisational structure and rapid development pace.

While Mihoyo has explored ways to generate games using AI, Mr. Xie believes the technology is not mature enough to autonomously generate facial expressions and motions based on real-time interactions, given bottlenecks in the computing power and model capability. Mr. Xie shares that during the game development process, he uses GPT (strong reasoning), Gemini (image editing and video generation), and Kimi (for Chinese long-context, graphics and video attachment analysis, meeting summary, and data analysis).

## Local services

We hosted Mr. Shi, Founder of Yuzhibo Information Technology (Nanjing) Company.

**Strategy for Meituan (MT) vs. Douyin (DY) in local services**
Mr. Shi estimates that Meituan is aiming for RMB1.45-1.5trn GTV in 2026e for in-store, hotel and travel (IHT), tracking over 20% y-o-y growth. By sub-segment:

- **In-store dining**: He expects growth to sustain at 15-16% y-o-y, but below overall segmental growth due to competition. Based on his observations, GTV validation rates, better order quality and a higher emphasis on formal meals take priority. He also thinks MT is leveraging AI to enhance operating efficiency for merchants.
- **In-store services**: He expects it to be a key growth driver for the segment, as MT expands into new category such as services delivered to the home (e.g., home cleaning, repairs, arranging photographers and personal trainers), and high-value prepaid cards for services (e.g. massage, yoga, bars, etc). MT helps audit the merchants, and ensures the merchants are properly vetted as business entities. MT also provides deposit custody to protect consumers' interests.
- **Hotel & travel**: He expects MT to focus on low-ADR bed & breakfast and high-ADR hotels as growth drivers. MT rolls out "Hotel+X" strategy, where X historically consisted mainly of breakfast. MT is more actively upselling other value-added services such as tourist attraction tickets, experience packages like photo shoots to further improve average order value and margins. It is also beefing up vacation and road trip-related content for the travel category to stimulate demand.

Mr. Shi expects Meituan to prioritise GTV, followed by profit and then revenue, with dynamic adjustment in subsidies to protect margins.

As for DY, Mr. Shi estimates a target of 50% GTV growth to RMB1.27trn in 2026. Beyond growing GTV, Douyin also aims to increase commission revenue and reach profitability by reducing subsidies. Mr. Shi also thinks the introduction of Doushengsheng precisely allows DY to do more targeted subsidies.

- **Doushengsheng**: DY launched a standalone Doushengsheng app to enhance conversion efficiency. Doushengsheng would also help merchants to achieve a target ROI through a one-stop shop for automated ad placement. Mr Shi believes Doushengsheng can effectively help DY acquire traffic from lower tier cities.

- **Category differentiation**: Rather than competing head-on with MT in categories like medical beauty services, DY turns its focus to physical goods in-store retail (such as vouchers to buy gold, apparel, etc), leveraging its e-commerce mindshare.
- **Hotel & travel:** Mr. Shi notes that DY's strength lies in its ability to market attraction ticketing and culture/tourism via short videos, but its GTV validation rate remains far below peers, partly due to the younger demographic it tends to attract.

Mr. Shi takes the view that asset/labour-heavy business development team remains an important moat for MT. MT adopts a mix of direct-operation and third-party agency model in business development. The agencies are often staffed by former Meituan or credit-card business development employees. They can withstand MT's rigorous evaluation process on metrics like GTV, orders, revenue and customer satisfaction; those who fall short would face penalties or termination of collaboration. MT's approach takes time to work, but merchant stickiness tends to be higher and it can also better penetrate SME merchants. DY's approach differs, as it leverages third-party agencies with marketing/media background. DY takes a more relaxed approach to vetting agencies, as the KPI is on the coverage ramp-up pace and GTV. This also means the focus tends to be on larger-sized chain merchants that generate more GTV rather than SME merchants. Mr. Shi sees merits in both approaches.

Overall, Mr. Shi thinks that DY's sizable traffic pool could effectively generate GTV, while Meituan's operating experience, understanding of users, dynamic adjustment of subsidies, and cross-selling potential could enable consistent profitability.

**Food delivery (FD)**

Mr. Shi shared his estimates for the key operating metrics for Meituan and Taobao in FD in 1Q26:

- **Daily orders:** Meituan (62-63m), Taobao (50-51m).
- **Unit Economics (UE)**: Meituan (less than RMB1 loss/order in March 2026), with UE gap versus Taobao staying at RMB2/order.

Mr. Shi expects long-run order market share for Meituan/Taobao should be 53-54%/46-47%, while GTV market share should be 60%/40%. He expects Meituan's UE to turn positive in 3Q26 or October 2026. He notes Meituan still has a better conversion rate (from milk tea to high-AOV orders) than Taobao, while Taobao' cross-selling ratio remains very low. Mr. Shi believes while it is difficult for Taobao to maintain its market share after cutting subsidies, what Taobao could do is to follow Meituan's subsidies strategy in different cities to defend market share, and target subsidies at those higher-value users (e.g. membership users). Mr. Shi also notes that Amap is ramping its business development team, but performance in trial cities is mixed given the lack of synergies with Taobao.

**Is AI an edge?**

Mr. Shi believes that, in the current macro environment, users prefer to compare prices across merchants and categories. However, Qwen can only facilitate price comparison within its own ecosystem. He thinks the bigger moat is physical execution, such as fulfilment capability and breadth of merchant and category coverage.

**Keeta**

Mr. Shi shared his views on Keeta's performance and strategy in various markets:

- **Hong Kong**: Market share is 40-50%, with over HKD1 OP/order (breakeven in 4Q25; profitable in 1Q26).
- **Saudi Arabia**: Daily orders are at 0.6m, with market share at 24-25% (number 2 player). After breakeven, Mr. Shi thinks Keeta will launch grocery business.

- **Other Middle East markets (e.g. Qatar, Kuwait, etc)**: Orders are growing steadily, with loss reduction as the main priority.
- **Brazil:** Daily orders are 0.1m, with 3% market share. iFood remains the market leader with 80% market share, followed by 99food with 9-10% market share. The staff reduction in Brazil was mainly due to delays in expanding into new cities, reflecting a lack of eligible restaurants. Keeta is working on strategies to negotiate with more restaurants to remove exclusivity agreements

**Exhibit 2: In-store, hotel and travel (IHT) GTV target comparison**

| | Meituan | Bytedance |
|---|---|---|
| 2026e IHT GTV target | RMB1.45-1.5trm (+20% y-o-y) | RMB1.27trm (+50% y-o-y) |

Source: Expert views

**Exhibit 3: Domestic food delivery key data snapshot**

| Metrics | Meituan | Taobao |
|---|---|---|
| 1Q26 Daily orders | 62–63m | 50–51m |
| March 2026 unit economics (UE) | Less than RMB1 loss/order | RMB2-3 loss/order |
| Long-run order share | 53–54% | 46–47% |
| Long-run GTV share | 60% | 40% |
| UE turning positive timeline | 3Q26 / Oct-2026 | n/a |

Source: Expert views

**Exhibit 4: Meituan progress in overseas food delivery expansion**

| Market | Daily orders | Market share | UE |
|---|---|---|---|
| Hong Kong | n/a | 40–50% | Broke even in 4Q25 and became profitable in 1Q26 |
| Saudi Arabia | 0.6m | 24–25% (No. 2) | n/a |
| Brazil | 0.1m | 3% | n/a |

Source: Expert views

## Ads

We hosted Mr. He, key account director in Guangzhou Jiachuang Information Technology Company.

**Industry growth outlook and vertical performance**

Mr. He forecasts domestic online ad market to grow by 5-7% y-o-y in 2026e, driven by 1) robust demand from short drama, notably ***AI short drama*** (35% y-o-y growth expected), and ***AI applications***, which together account for 16-20% of the total ad market and are expected to grow 20–30% y-o-y, and 2) incremental budgets released from lower ***iOS channel costs***.

This implies a slowdown of ad online market from the 13% y-o-y growth in 2025 (per IMZ Lab). Mr. He attributes the deceleration to 1) more disciplined advertiser behaviour across sectors, 2) impacts from the two tax-related policy changes (details below), 3) the normalisation of the competition in food delivery, and 4) weaker ***performance in several verticals***. Specifically, i) online services and e-commerce ads are expected to remain largely flat; ii) hardcore games ad is expected to decline by 5% y-o-y (despite mini game ad is expected to grow 5% y-o-y) and iii) food, pharmaceuticals, health supplements, medical devices and the financial services, are facing tighter compliance requirements including traffic restrictions and higher deposit thresholds.

Advertisers are also focusing more on platforms' closed-loop data capability, which is defined by the integration of closed-loop e-commerce, RTA, and first-party data processing, enabling platforms to provide advertisers with more precise user-behaviour conversion signals to optimise targeting and performance.

**Competitive landscape**

The expert expects Tencent, Xiaohongshu and KS to lead ad revenue growth, followed by ByteDance and Bilibili. Baidu remains weak, reflecting ongoing pressure in search ad (due to competition from WeChat/XHS search and AI), feed ads and challenge in AI monetisation.

**The adoption of Agentic AI in WeCom improves conversion efficiency and reduces reliance on large sales teams by automating early-stage enquiries and quotations, helping to narrow execution gaps between large and smaller advertisers.**

- **Tencent** is narrowing the gap between its ad market share and time spent share. The key driver lies in its **WeChat ecosystem**, where advertisers can build a strong **private-domain closed loop** from ads to WeCom (Enterprise WeChat) to mini-programs, shops and Video Accounts. This ecosystem tends to attract higher-value users with stronger paying power with higher LTV over time although ramp-up period could take longer. This supports (1) rising budgets for WeChat Search; (2) rising ad demand from non-e-commerce advertisers on Video Accounts; and (3) WeChat mini-programmes capturing ad budget from mid-tier game publishers and short dramas. From **AI's perspective**, Tencent is benefiting from (1) deeper integration between its AI-driven AdMuse platform and its ad system and (2) leading agentic AI adoption in WeCom.
- **ByteDance** captures most ad budgets in **short dramas** and **local services**. It leads in computing power, algorithms and commercialisation infrastructure (Ocean Engine/Juliang Engine, Qianchuan, Local Push), well-suited to **fast, hit-driven campaigns**. However, its long-term LTV dynamics are not as good as those on Tencent's private domain.
- **Kuaishou (KS)** is supported 1) by **AI short dramas**, where it delivers higher ROI than ByteDance, and 2) by improving brand ad through tailored, sector-specific solutions. Moreover, KS has reduced its rebate levels to c5–15% or Douyin's level – Mr. He thinks this may not be sustainable or it may limit growth as value of KS' traffic, as defined by users' purchasing power is lower than DY. KS' expansion into verticals such as hardcore gaming, healthcare, education and financial services are somewhat constrained as a result. Hence expert thinks KS' growth will continue to rely more on existing categories like e-commerce (Magnetic Jinniu), money making mini-games, utilities, short dramas and novels.
- **Xiaohongshu (RED)** is positioned as a strong "interests-to-conversion" platform that combines KOL content, feed ads and search, which makes it particularly effective for **higher-AOV categories,** such as food, pharmaceuticals, health supplements and medical devices, and certain white-label beauty brands. However, it is still relatively weaker in app-install performance ad, especially for gaming where deep in-app event postbacks are critical for optimisation.
- **Bilibili** has very high eCPM and delivers very strong ROI in selected categories (e.g., ACG games, beauty, education, and social entertainment). However, expansion into other verticals can be challenging, and it continues to lag peers in advertising infrastructure and smart placement. Similar to KS, Bili has been reducing its rebates, which Mr He also views as too aggressive given the high eCPM on the platform.

**While some mitigation is possible - for example, reallocating traffic acquisition budgets towards content marketing via content creator/brand collaboration platforms such as Xingtu/Huxuan under ByteDance/Tencent — the overall impact remains material.**

### New tax-related regulations are key drags

China has introduced **two tax-related policy changes**: i) the new regulation on tax information reporting of merchants on internet platforms ("e-commerce tax"), which is weighing on e-commerce ad as it reduces ads agencies' ability to provide "rebates" to advertisers given stricter invoice compliance requirements, and ii) the new traffic acquisition cost tax regulation ("traffic acquisition cost tax"), which caps tax-deductible amounts of traffic acquisition cost at 15-30% of revenue. Both policies, took effect from Oct 2025, are pressuring low-margin white-label merchants (which has thin margin after marketing expense accounting for 60-80% of their GMV and historically contributed 20-25% of e-commerce ad spend), increasing effective traffic acquisition costs by 6-10% and driving 15-20% budget pullbacks among white-label beauty and apparel advertisers. Excluding the two tax-related measures, Mr. He estimates the market could grow 8-10% yoy in 2026e. **By platform**, KS and Douyin, which reply more on fast-turnover white-label merchants through "clip-based" video commerce (for Douyin) or "Trust-based" livestreaming commerce (for KS) face larger impacts, while platforms with more brand-led budgets (e.g., Tmall / RED) are less affected. Tencent's impact is also relatively manageable given its user base skews towards older and higher-spending cohorts.

### AI deployment in advertising and platforms

AI is improving ad efficiency through two main levers - content production and smart ad placement. On ***content production***, AI-generated images are already mature, while video tools (e.g., ByteDance's Seedance) can partially address video-generation needs. On ***smart ad placement***, which mainly includes automated campaigns, automated bidding, and post-event attribution, is shifting the role of ad optimisation team from manual execution to AI feature fine- tuning and data analysis on ad materials. ByteDance and KS are the leading players. **In 2026,** the focus is shifting towards **dynamic personalisation at scale** and **conversion uplift across the whole process**. However, these efficiency gains have brought limited incremental ad budgets partly due to AI performance is not yet optimal - human-led optimisation still delivers c20% higher ROI, although AI does expand ad placement capacity. **At the platform level**, AI is reinforcing a winner-takes-more dynamic: leading platforms with strong data flywheels and computing power (e.g. ByteDance, Meta, Google) are better positioned to run a full AI closed loop and are seeing c10% uplift in ROI from AI adoption, while platforms with weaker infrastructure (e.g., Bilibili, RED) are likely to fall further behind.

Two **emerging AI-driven ad approaches** are being discussed, 1) **auction ads within AI platforms,** where hitting certain keywords will lead certain recommended product, and **GEO (Generative Engine Optimisation)**, through which brands structure and tailor how they distribute digital content in turn improve brands' visibility in AI generated responses on token-based prices. While GEO can be highly cost-effective, it also introduces data-contamination risks that may erode user trust in AI outputs and lead to compliance challenges. ByteDance has already begun testing AI ad within Doubao.

## AI

We hosted Dr Bing Zhu, AI CoE of HSBC Group AI in Shanghai.

### LLM selection criteria

The key criteria considered by users when choosing an AI partner include:

- **1) Model performance by use case:** Enterprises typically select an AI/LLM partner based on how well the model fits their priority use cases and how reliably it performs in production. This means looking beyond headline benchmarks to task-level quality (e.g., summarisation, extraction, coding, multilingual capability), consistency and controllability, and practical runtime considerations such as latency and throughput. In practice, many organisations adopt a multi-model strategy, selecting different models for different workloads rather than relying on a single "one-size-fits-all" standard.

- **2) Deployment and governance**: Organisations typically favour solutions that support flexible deployment (public cloud, virtual private cloud, on-premises) and provide strong data controls - encryption, key management, audit logging, data residency, and clear commitments on prompt/data retention and whether customer data are used for training. Providers with mature cybersecurity practices, recognised certifications, proven incident response, robust SLAs, and credible DR/BCP capabilities are often preferred, particularly in regulated environments.
- **3) Partnership and customisation**: Organisations need support to operationalise solutions or tailor models safely. This goes beyond fine-tuning to include grounding (e.g., retrieval-augmented generation), tool/function calling, evaluation and monitoring capabilities, and clear positions on IP ownership and data isolation.
- **4) Cost**: Cost should be assessed as total cost of ownership rather than just "price per token", factoring in hosting, networking, observability, security controls, human review, and ongoing model updates, as well as integration effort with the enterprise stack (identity/SSO, DLP, SIEM, data platforms, and APIs).

**Competitive energy pricing can be a long-term edge**

Some China-based providers can be cost competitive due to engineering optimisation and local infrastructure economics, though the advantage varies by workload, deployment model, and required controls. If compute pricing rises structurally, electricity cost and data-centre efficiency could become a longer-term differentiator for training and inference economics. However, hardware availability, supply constraints, and regulatory/data residency requirements can limit how much of that advantage global enterprises can capture in the near term.

**ROI**

ROI will vary by use case and organisation. AI budgets may increase as a share of IT spend, supported by productivity gains, run-cost reduction, and targeted revenue uplift. However, adoption speed will depend on use-case maturity and the change management needed to redesign processes and implement controls. Early economic value typically comes from high-volume, well-defined workflows, while more complex use cases often require stronger governance and operating model changes before benefits are realised.

## QM

We hosted Allen Chen, Founder of Questmobile.

**AI-to-C competition update**

- AI adoption is broadening beyond early adopters, as usage is growing faster in lower-tier cities and among both younger and older age cohorts.
- In chatbot competition, Qwen have narrowed the gap with Doubao but still trails meaningfully, and its retention remains less stable. Doubao's new users skew heavily to younger ones (over 80% under 35) and is increasingly driven by new users from lower-tier cities, while some competing products appear to have a relatively older user mix and more users from top-tier cities.

**Meituan vs Douyin in local services**

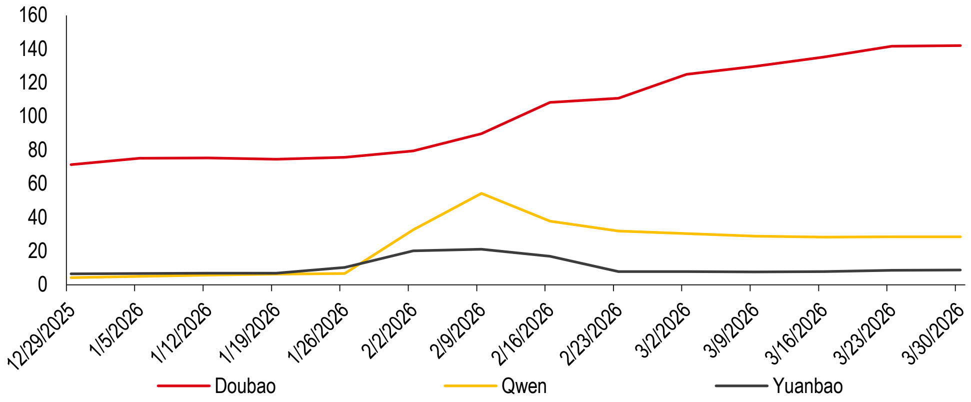
- Food delivery competitive intensity appears to have stabilised, with Meituan's sessions recovering from the prior trough.
- In in-store local services, Douyin's merchant tool "Laike" is growing quickly while Meituan's merchant-side sessions have declined (around -4%), yet Meituan still maintains roughly 30% higher sessions than Laike overall, largely because **Meituan remains dominant in top-tier cities**, where it still holds more than 70% share of user sessions and over 60% in new first-tier cities. **The competitive gap is narrowing in lower-tier cities, where Laike is catching up faster**.

- New entrants and product changes are reshaping traffic at the margin, as **“Dou Sheng Sheng” scaled to more than 6m DAU by end-March and reached about 22% of Dianping’s level, but Dianping’s DAU has remained broadly flat, implying limited direct cannibalisation so far**.

**Online music competition**

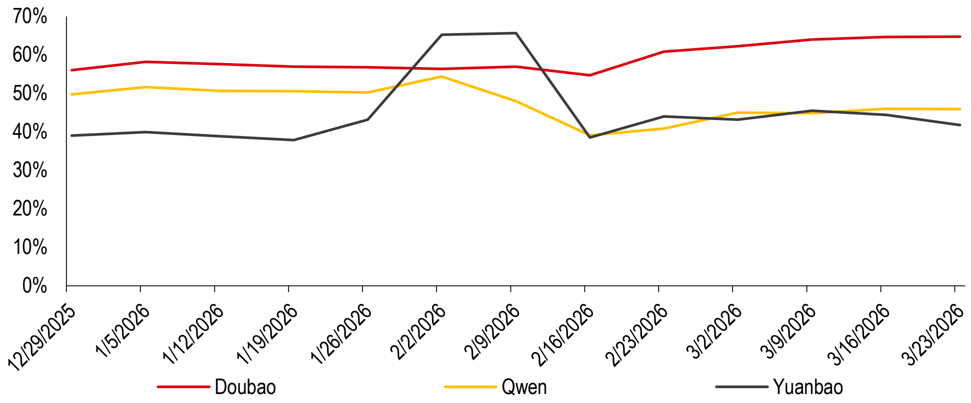
- The online music landscape is seeing share reallocation rather than uniform growth, **with Tencent Music’s combined MAU across its three apps down around 3% y-o-y, while ByteDance and NetEase are gaining**, indicating that short-video ecosystems and differentiated community products are continuing to pull incremental attention.
- Demographics may be an important swing factor, because **older users could be more influenced by ByteDance’s Soda Music**, which implies that competition is not only about catalogue and pricing, but also about distribution, recommendation, and how effectively each platform converts short-video-driven discovery into repeat listening.

**Exhibit 5: Weekly active user of key AI apps**



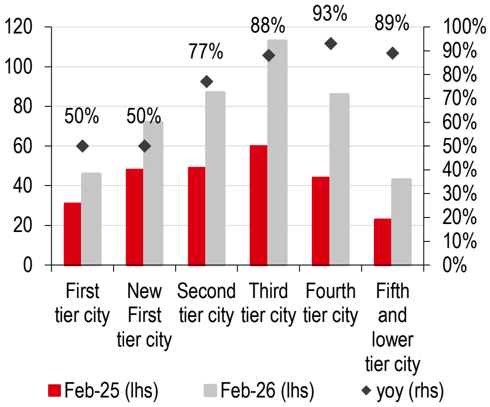

Source: Questmobile, HSBC

**Exhibit 6: Weekly active user D1 retention rates**



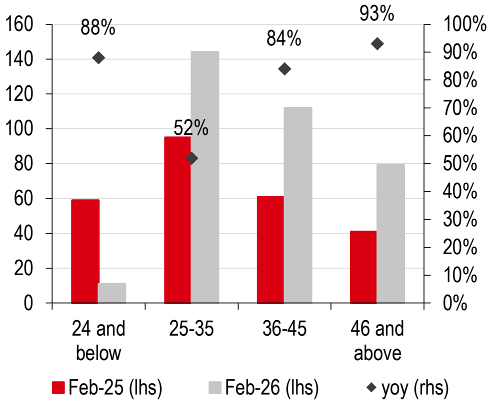

Source: Questmobile, HSBC

**Exhibit 7: MAU by city tier (m)**



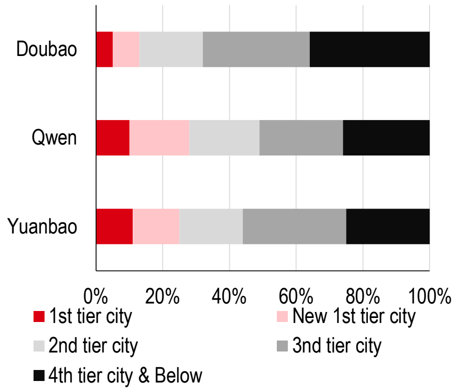

Source: Questmobile, HSBC

**Exhibit 8: MAU by age group (m)**



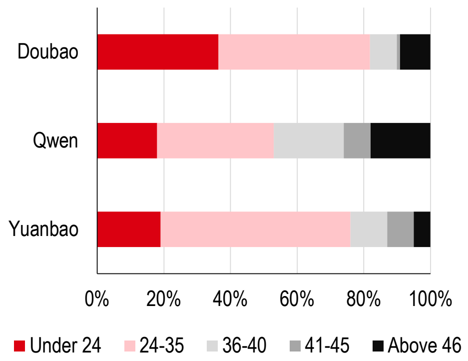

Source: Questmobile, HSBC

**Exhibit 9: City tier of MAU growth (Feb 2026 vs. Jan 2026)**



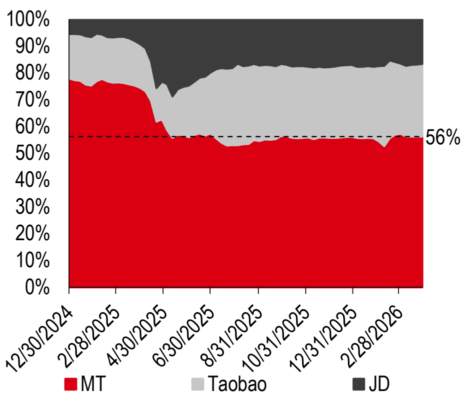

Source: Questmobile, HSBC

**Exhibit 10: Age of MAU growth (Feb 2026 vs. Jan 2026)**



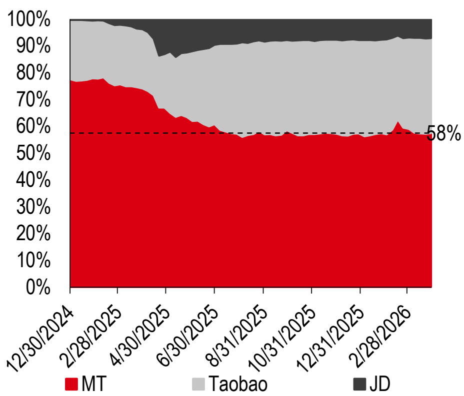

Source: Questmobile, HSBC

**Exhibit 11: Weekly session shares of rider Apps**



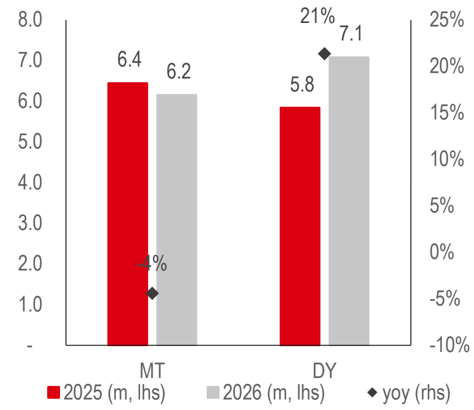

Source: Questmobile, HSBC

**Exhibit 12: Weekly session shares of merchant App**



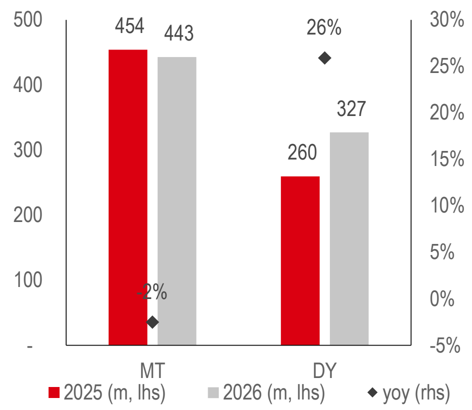

Source: Questmobile, HSBC

**Exhibit 13: MAU (avg Jan-Feb) and y-o-y growth**



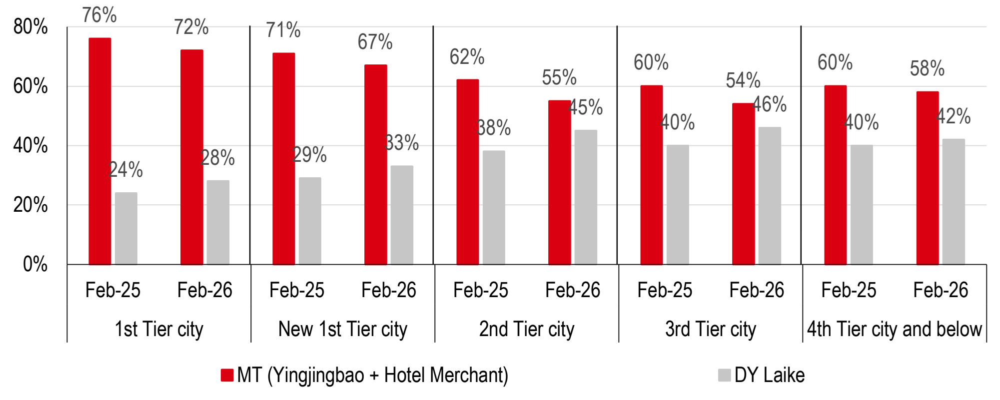

Source: Questmobile, HSBC

**Exhibit 14: Monthly sessions (Avg Jan-Feb) and y-o-y growth**



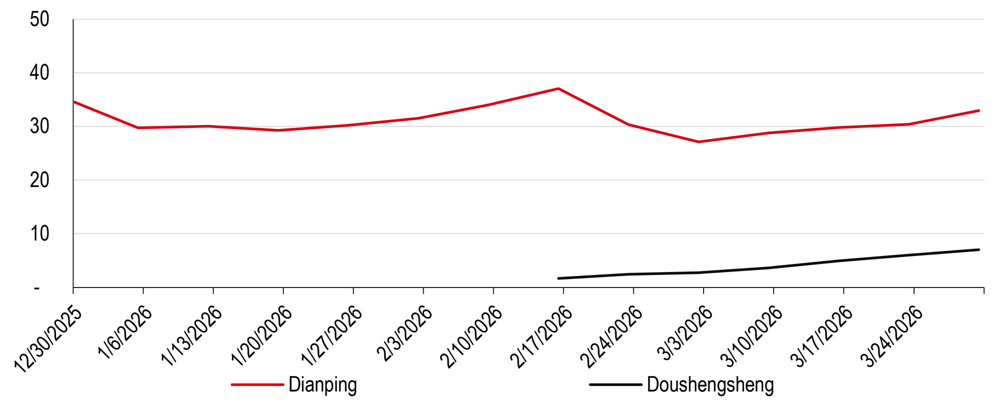

Source: Questmobile, HSBC

**Exhibit 15: Session distribution share in different city tiers**



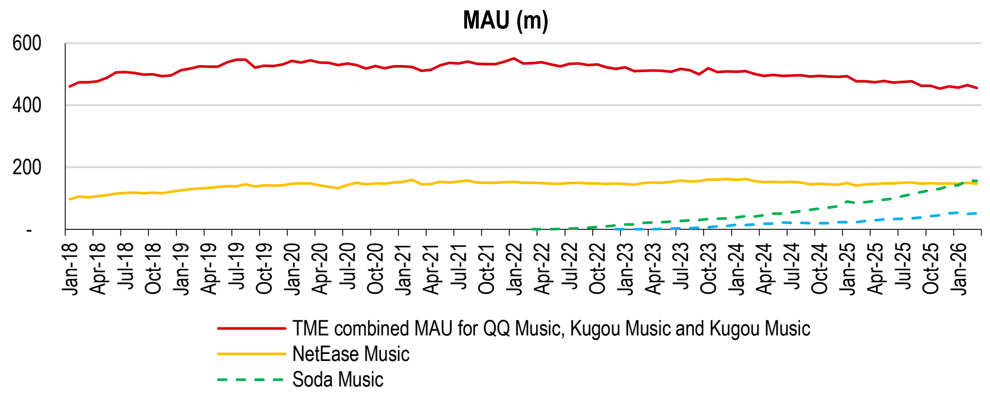

Source: Questmobile, HSBC

**Exhibit 16: Weekly average DAU of Dianping vs. Dousengseng**



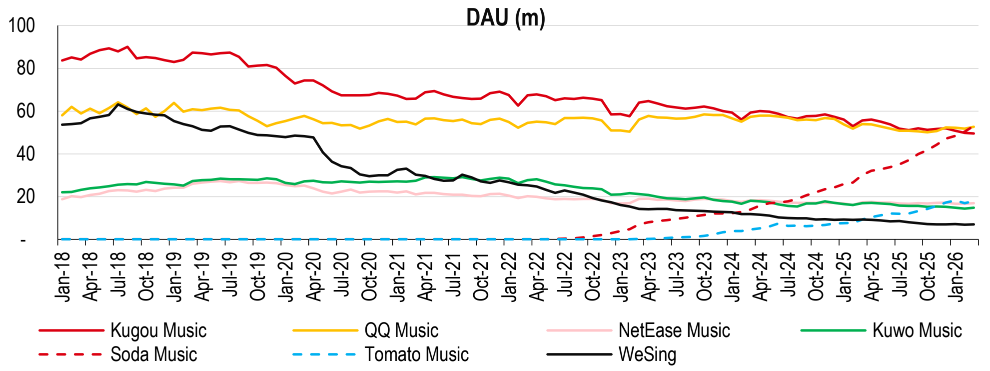

Source: Questmobile, HSBC

**Exhibit 17: Key MAU trend for key music apps**



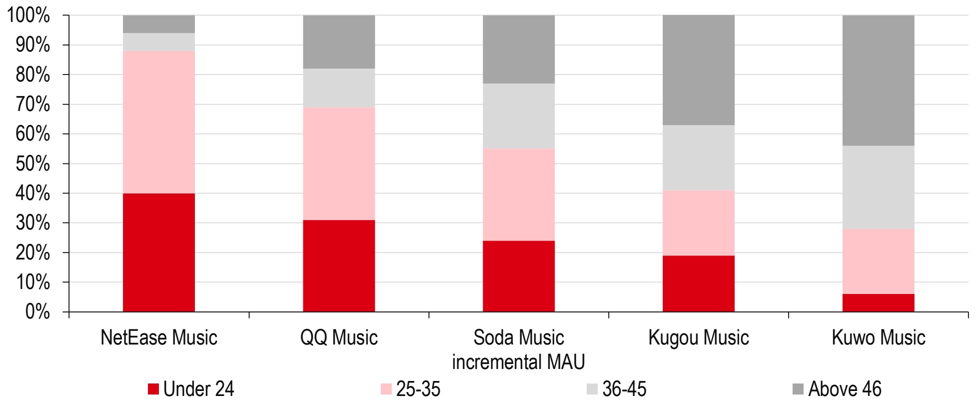

Source: Questmobile, HSBC

**Exhibit 18: Key DAU trend for key music apps**




Source: Questmobile, HSBC

**Exhibit 19: MAU by age**




Source: Questmobile, HSBC

# Valuation and risks

| | | Valuation | Risks |
|---|---|---|---|
| **Tencent 700 HK**<br><br>**Buy** | Current price:<br>**HKD493.40**<br>Target price:<br>**HKD750.00**<br>Up/downside:<br>**+52.0%** | **Methodology:** DCF<br><br>**Assumptions:** WACC of 8.4% is based on a debt/debt-and-equity ratio of 21%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. Terminal growth rate of 3.5%. Our inputs remain unchanged.<br><br>We derive a TP of HKD750 (unchanged), which implies 52% upside; we therefore maintain our Buy rating. We see solid fundamentals in games and ads.<br><br>**RMB counter:** For the RMB counter (80700 HK, RMB428.20), our TP of RMB674.00 (unchanged) is converted from our H-share target price based on the HSBC FX team's RMB-HKD assumption of 1.16 at end-2026e.<br><br>**Charlene Liu*** \| charlene.r.liu@hsbc.com.sg \| +65 6658 0615 | **Downside risks:**<br>◆ Inability to get monetisation approval for games<br>◆ Regulatory headwinds for games and internet finance<br>◆ A deeper macro slowdown that could affect advertisers' budgets<br>◆ Inappropriate advertising and video content<br>◆ Changes in user preferences in terms of entertainment formats or communications<br>◆ Overhang from major shareholders' reduction of stake over time<br>◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock. |
| **Alibaba BABA US**<br><br>**Buy** | Current price:<br>**USD135.82**<br>Target price:<br>**USD172.00**<br>Up/downside:<br>**+26.6%** | **Methodology:** Discounted cash flow (DCF)<br><br>**Assumptions:** Our WACC of 9.8% is based on a risk-free rate of 4.25% and mainland China equity risk premium of 4.75%, debt-to-debt and equity of 18%, five-year weekly beta of 1.44 based on Bloomberg data, and cost of debt of 5.5%. We assume a terminal growth rate of 3.5% (all unchanged).<br>We derive an unchanged TP of USD172, implying 27% upside; we therefore maintain a Buy rating. We are positive on its AI leadership and robust cloud growth outlook.<br><br>**Secondary listing:** For the local shares (9988 HK, CMP HKD131.8), we arrive at our TP of HKD168 factoring in our ADR TP of USD172 and applying a 2026 year-end USD-HKD assumption of 7.80 and an ADS-to-Hong Kong-listed-share conversion ratio of 1 to 8. For the RMB counter (89988 HK, CMP RMB115.0), we convert our H-share TP of HKD168 to RMB based on RMB-HKD of 1.11 based on USD-RMB of 7.0. This returns a TP of RMB151.<br><br>**Charlene Liu*** \| charlene.r.liu@hsbc.com.sg \| +65 6658 0615 | **Downside risks**<br>◆ Potential acceleration in market share loss<br>◆ Margin pressure and competition; regulatory risks<br>◆ Higher-than-expected costs to integrate new retail initiatives<br>◆ Economic slowdown<br>◆ Slower-than-expected global expansion<br>◆ Geopolitical risks |
| **Full Truck Alliance YMM US**<br><br>**Buy** | Current price:<br>**USD8.66**<br>Target price:<br>**USD13.80**<br>Upside:<br>**59.4%** | **Methodology:** Discounted cash flow.<br><br>**Assumptions**: Our WACC of 12.2% is based on a risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.67, and a tax rate of 25%. We also assume a terminal growth rate of 3.5% (unchanged).<br><br>Our target price of USD13.80 (unchanged) implies c59% upside from current levels; accordingly, we maintain our Buy rating on the stock.<br><br>**Ritchie Sun*** \| ritchie.k.h.sun@hsbc.com.hk \| +852 2822 4392 | **Downside risks:**<br>◆ Greater supply/demand imbalance, weaker order growth, and weaker monetisation rate uplift.<br>◆ Other risks such as intense competition pressuring business margin, emergence of new disruptive business models, social security issues of trucker community, further tightening on the regulation front could impact growth and profitability, potential delisting risks, key person and major shareholder sell-down. |

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations
Priced at 24 Apr 2026
Source: HSBC estimates

# Disclosure appendix

**Analyst Certification**

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Charlene Liu, Ritchie Sun, CFA, Charlotte Wei and Christina Chen, CFA

**Important disclosures**

**Equities: Stock ratings and basis for financial analysis**

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

**From 23rd March 2015 HSBC has assigned ratings on the following basis:**

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

**Prior to this date, HSBC's rating structure was applied on the following basis:**

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

**Rating distribution for long-term investment opportunities**

**As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:**

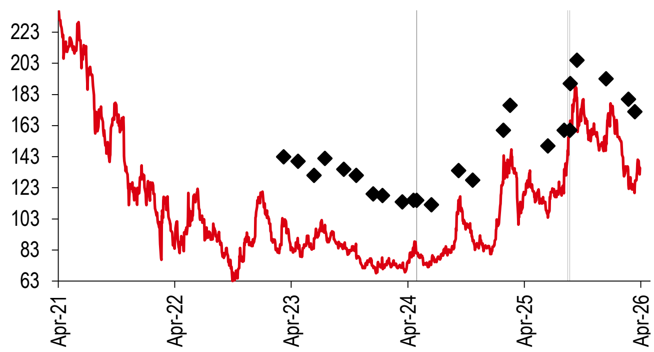
| | | |
|---|---|---|
| **Buy** | 59% | (12% of these provided with Investment Banking Services in the past 12 months) |
| **Hold** | 36% | (12% of these provided with Investment Banking Services in the past 12 months) |
| **Sell** | 6% | (6% of these provided with Investment Banking Services in the past 12 months) |

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

**Share price and rating changes for long-term investment opportunities**

**Alibaba Group (BABA.N) share price performance USD Vs HSBC rating history**



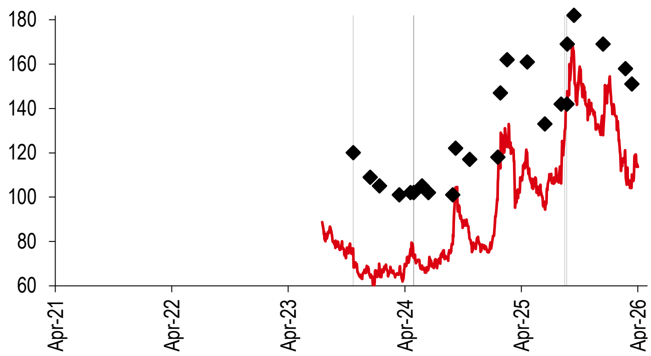

Source: HSBC

**Rating & target price history**

| From | To | Date | Analyst |
|---|---|---|---|
| Restricted | Buy | 21 Nov 2019 | Binnie Wong |
| Buy | Restricted | 23 May 2024 | |
| Restricted | Buy | 24 May 2024 | Charlene Liu |
| Buy | Restricted | 10 Sep 2025 | |
| Restricted | Buy | 16 Sep 2025 | Charlene Liu |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 143.00 | 03 Apr 2023 | Charlene Liu |
| Price 2 | 140.00 | 18 May 2023 | Charlene Liu |
| Price 3 | 131.00 | 07 Jul 2023 | Charlene Liu |
| Price 4 | 142.00 | 10 Aug 2023 | Charlene Liu |
| Price 5 | 135.00 | 08 Oct 2023 | Charlene Liu |
| Price 6 | 131.00 | 16 Nov 2023 | Charlene Liu |
| Price 7 | 119.00 | 09 Jan 2024 | Charlene Liu |
| Price 8 | 118.00 | 07 Feb 2024 | Charlene Liu |
| Price 9 | 114.00 | 09 Apr 2024 | Charlene Liu |
| Price 10 | 115.00 | 14 May 2024 | Charlene Liu |
| Price 11 | Restricted | 23 May 2024 | |
| Price 12 | 115.00 | 24 May 2024 | Charlene Liu |
| Price 13 | 112.00 | 09 Jul 2024 | Charlene Liu |
| Price 14 | 134.00 | 02 Oct 2024 | Charlene Liu |
| Price 15 | 128.00 | 15 Nov 2024 | Charlene Liu |
| Price 16 | 160.00 | 20 Feb 2025 | Charlene Liu |
| Price 17 | 176.00 | 13 Mar 2025 | Charlene Liu |
| Price 18 | 150.00 | 09 Jul 2025 | Charlene Liu |
| Price 19 | 160.00 | 29 Aug 2025 | Charlene Liu |
| Price 20 | Restricted | 10 Sep 2025 | |
| Price 21 | 160.00 | 16 Sep 2025 | Charlene Liu |
| Price 22 | 190.00 | 17 Sep 2025 | Charlene Liu |
| Price 23 | 205.00 | 08 Oct 2025 | Charlene Liu |
| Price 24 | 193.00 | 08 Jan 2026 | Charlene Liu |
| Price 25 | 180.00 | 19 Mar 2026 | Charlene Liu |
| Price 26 | 172.00 | 08 Apr 2026 | Charlene Liu |

Source: HSBC

**Alibaba Group (89988.HK) share price performance CNY Vs HSBC rating history**



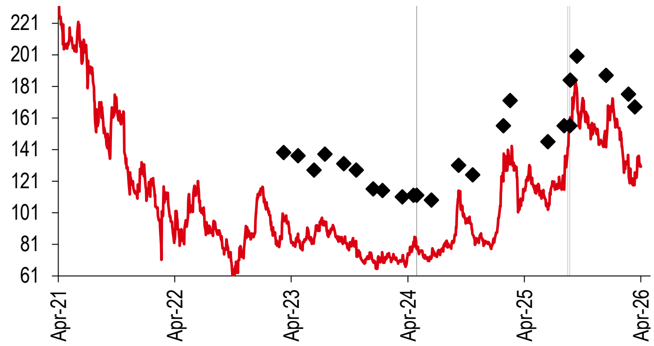

Source: HSBC

**Rating & target price history**

| From | To | Date | Analyst |
|---|---|---|---|
| N/A | Buy | 16 Nov 2023 | Charlene Liu |
| Buy | Restricted | 23 May 2024 | |
| Restricted | Buy | 24 May 2024 | Charlene Liu |
| Buy | Restricted | 10 Sep 2025 | |
| Restricted | Buy | 16 Sep 2025 | Charlene Liu |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 120.00 | 16 Nov 2023 | Charlene Liu |
| Price 2 | 109.00 | 09 Jan 2024 | Charlene Liu |
| Price 3 | 105.00 | 07 Feb 2024 | Charlene Liu |
| Price 4 | 101.00 | 09 Apr 2024 | Charlene Liu |
| Price 5 | 102.00 | 14 May 2024 | Charlene Liu |
| Price 6 | Restricted | 23 May 2024 | |
| Price 7 | 102.00 | 24 May 2024 | Charlene Liu |
| Price 8 | 105.00 | 19 Jun 2024 | Charlene Liu |
| Price 9 | 102.00 | 09 Jul 2024 | Charlene Liu |
| Price 10 | 101.00 | 23 Sep 2024 | Charlene Liu |
| Price 11 | 122.00 | 02 Oct 2024 | Charlene Liu |
| Price 12 | 117.00 | 15 Nov 2024 | Charlene Liu |
| Price 13 | 118.00 | 12 Feb 2025 | Charlene Liu |
| Price 14 | 147.00 | 20 Feb 2025 | Charlene Liu |
| Price 15 | 162.00 | 13 Mar 2025 | Charlene Liu |
| Price 16 | 161.00 | 15 May 2025 | Charlene Liu |
| Price 17 | 133.00 | 09 Jul 2025 | Charlene Liu |
| Price 18 | 142.00 | 29 Aug 2025 | Charlene Liu |
| Price 19 | Restricted | 10 Sep 2025 | |
| Price 20 | 142.00 | 16 Sep 2025 | Charlene Liu |
| Price 21 | 169.00 | 17 Sep 2025 | Charlene Liu |
| Price 22 | 182.00 | 08 Oct 2025 | Charlene Liu |
| Price 23 | 169.00 | 08 Jan 2026 | Charlene Liu |
| Price 24 | 158.00 | 19 Mar 2026 | Charlene Liu |
| Price 25 | 151.00 | 08 Apr 2026 | Charlene Liu |

Source: HSBC

### Alibaba Group (9988.HK) share price performance HKD Vs HSBC rating history



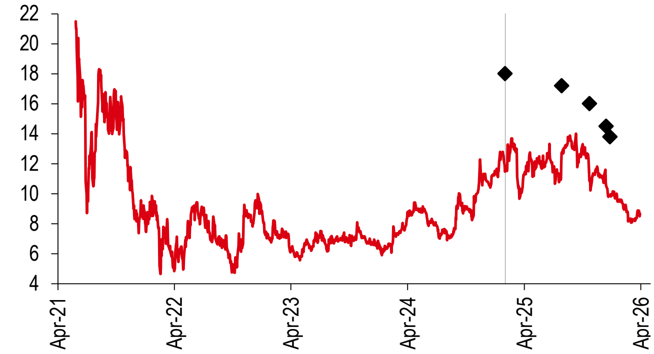

Source: HSBC

### Rating & target price history

| From | To | Date | Analyst |
|---|---|---|---|
| N/A | Buy | 26 Nov 2019 | Binnie Wong |
| Buy | Restricted | 23 May 2024 | |
| Restricted | Buy | 24 May 2024 | Charlene Liu |
| Buy | Restricted | 10 Sep 2025 | |
| Restricted | Buy | 16 Sep 2025 | Charlene Liu |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 139.00 | 03 Apr 2023 | Charlene Liu |
| Price 2 | 137.00 | 18 May 2023 | Charlene Liu |
| Price 3 | 128.00 | 07 Jul 2023 | Charlene Liu |
| Price 4 | 138.00 | 10 Aug 2023 | Charlene Liu |
| Price 5 | 132.00 | 08 Oct 2023 | Charlene Liu |
| Price 6 | 128.00 | 16 Nov 2023 | Charlene Liu |
| Price 7 | 116.00 | 09 Jan 2024 | Charlene Liu |
| Price 8 | 115.00 | 07 Feb 2024 | Charlene Liu |
| Price 9 | 111.00 | 09 Apr 2024 | Charlene Liu |
| Price 10 | 112.00 | 14 May 2024 | Charlene Liu |
| Price 11 | Restricted | 23 May 2024 | |
| Price 12 | 112.00 | 24 May 2024 | Charlene Liu |
| Price 13 | 109.00 | 09 Jul 2024 | Charlene Liu |
| Price 14 | 131.00 | 02 Oct 2024 | Charlene Liu |
| Price 15 | 125.00 | 15 Nov 2024 | Charlene Liu |
| Price 16 | 156.00 | 20 Feb 2025 | Charlene Liu |
| Price 17 | 172.00 | 13 Mar 2025 | Charlene Liu |
| Price 18 | 146.00 | 09 Jul 2025 | Charlene Liu |
| Price 19 | 156.00 | 29 Aug 2025 | Charlene Liu |
| Price 20 | Restricted | 10 Sep 2025 | |
| Price 21 | 156.00 | 16 Sep 2025 | Charlene Liu |
| Price 22 | 185.00 | 17 Sep 2025 | Charlene Liu |
| Price 23 | 200.00 | 08 Oct 2025 | Charlene Liu |
| Price 24 | 188.00 | 08 Jan 2026 | Charlene Liu |
| Price 25 | 176.00 | 19 Mar 2026 | Charlene Liu |
| Price 26 | 168.00 | 08 Apr 2026 | Charlene Liu |

Source: HSBC

### Full Truck Alliance Co (YMM.N) share price performance USD Vs HSBC rating history



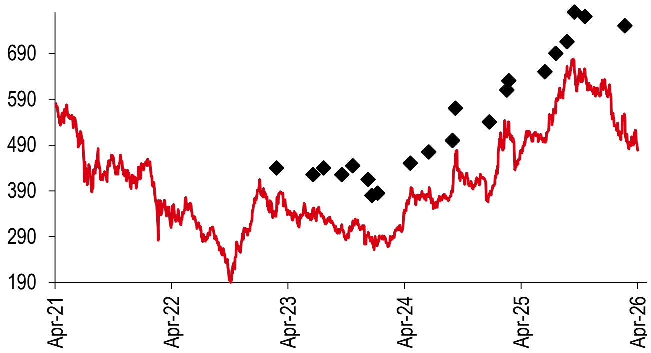

Source: HSBC

### Rating & target price history

| From | To | Date | Analyst |
|---|---|---|---|
| N/A | Buy | 25 Feb 2025 | Ritchie Sun, CFA |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 18.00 | 25 Feb 2025 | Ritchie Sun, CFA |
| Price 2 | 17.20 | 22 Aug 2025 | Ritchie Sun, CFA |
| Price 3 | 16.00 | 17 Nov 2025 | Ritchie Sun, CFA |
| Price 4 | 14.50 | 08 Jan 2026 | Ritchie Sun, CFA |
| Price 5 | 13.80 | 20 Jan 2026 | Ritchie Sun, CFA |

Source: HSBC

**Tencent Holdings (0700.HK) share price performance HKD Vs HSBC rating history**



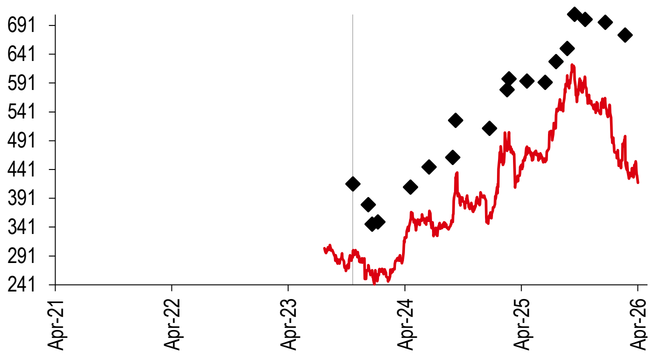

Source: HSBC

**Rating & target price history**

| From | To | Date | Analyst |
|---|---|---|---|
| N/A | Buy | 30 Jan 2019 | Binnie Wong |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 440.00 | 22 Mar 2023 | Charlene Liu |
| Price 2 | 425.00 | 14 Jul 2023 | Charlene Liu |
| Price 3 | 440.00 | 16 Aug 2023 | Charlene Liu |
| Price 4 | 425.00 | 12 Oct 2023 | Charlene Liu |
| Price 5 | 445.00 | 15 Nov 2023 | Charlene Liu |
| Price 6 | 415.00 | 02 Jan 2024 | Charlene Liu |
| Price 7 | 380.00 | 15 Jan 2024 | Charlene Liu |
| Price 8 | 385.00 | 02 Feb 2024 | Charlene Liu |
| Price 9 | 450.00 | 14 May 2024 | Charlene Liu |
| Price 10 | 475.00 | 11 Jul 2024 | Charlene Liu |
| Price 11 | 500.00 | 23 Sep 2024 | Charlene Liu |
| Price 12 | 570.00 | 02 Oct 2024 | Charlene Liu |
| Price 13 | 540.00 | 17 Jan 2025 | Charlene Liu |
| Price 14 | 610.00 | 13 Mar 2025 | Charlene Liu |
| Price 15 | 630.00 | 19 Mar 2025 | Charlene Liu |
| Price 16 | 650.00 | 10 Jul 2025 | Charlene Liu |
| Price 17 | 690.00 | 13 Aug 2025 | Charlene Liu |
| Price 18 | 715.00 | 17 Sep 2025 | Charlene Liu |
| Price 19 | 780.00 | 10 Oct 2025 | Charlene Liu |
| Price 20 | 770.00 | 13 Nov 2025 | Charlene Liu |
| Price 21 | 750.00 | 18 Mar 2026 | Charlene Liu |

Source: HSBC

**Tencent Holdings (80700.HK) share price performance CNY Vs HSBC rating history**




Source: HSBC

**Rating & target price history**

| From | To | Date | Analyst |
|---|---|---|---|
| N/A | Buy | 15 Nov 2023 | Charlene Liu |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 416.00 | 15 Nov 2023 | Charlene Liu |
| Price 2 | 380.00 | 02 Jan 2024 | Charlene Liu |
| Price 3 | 346.00 | 15 Jan 2024 | Charlene Liu |
| Price 4 | 350.00 | 02 Feb 2024 | Charlene Liu |
| Price 5 | 410.00 | 14 May 2024 | Charlene Liu |
| Price 6 | 445.00 | 11 Jul 2024 | Charlene Liu |
| Price 7 | 462.00 | 23 Sep 2024 | Charlene Liu |
| Price 8 | 526.00 | 02 Oct 2024 | Charlene Liu |
| Price 9 | 512.00 | 17 Jan 2025 | Charlene Liu |
| Price 10 | 579.00 | 13 Mar 2025 | Charlene Liu |
| Price 11 | 598.00 | 19 Mar 2025 | Charlene Liu |
| Price 12 | 594.00 | 14 May 2025 | Charlene Liu |
| Price 13 | 592.00 | 10 Jul 2025 | Charlene Liu |
| Price 14 | 628.00 | 13 Aug 2025 | Charlene Liu |
| Price 15 | 651.00 | 17 Sep 2025 | Charlene Liu |
| Price 16 | 710.00 | 10 Oct 2025 | Charlene Liu |
| Price 17 | 701.00 | 13 Nov 2025 | Charlene Liu |
| Price 18 | 696.00 | 15 Jan 2026 | Charlene Liu |
| Price 19 | 674.00 | 18 Mar 2026 | Charlene Liu |

Source: HSBC

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| Company | Ticker | Recent price | Price date | Disclosure |
|---|---|---|---|---|
| ALIBABA GROUP | BABA.N | 135.82 | 24 Apr 2026 | 1, 4, 5, 6, 7, 11 |
| FULL TRUCK ALLIANCE CO | YMM.N | 8.66 | 24 Apr 2026 | 7 |
| TENCENT HOLDINGS | 0700.HK | 478.60 | 27 Apr 2026 | 1, 4, 5, 6, 7, 11 |

Source: HSBC

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